

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

VPF (Voluntary Provident Fund)

We have just seen that a provident fund is a mandatory arrangement by which you contribute 12% of your basic salary and the employer contributes an equal amount. On this total amount, you get a secure annual return of 8 to 10%.

However, it is possible to invest more than the mandatory 12% into your PF account and get great returns on it. Not many have heard about this. If you haven't, then welcome to the relatively unknown world of Voluntary Provident Fund (VPF).

VPF is a safe option wherein you can contribute an amount over and above the EPF ceiling of 12% that has been mandated by the government. This additional amount enjoys all the benefits of a PF except that the employer is not liable to contribute any extra amount apart from the mandated 12%.

An added advantage of investing through VPF is that the interest rate is equal to the interest rate of a PF and the withdrawal is tax free. The money invested in a VPF is also subject to tax relief under Section 80C, as in the case of 12% EPF money. The interest rate that you receive for the VPF amount is the same as what you get from the government for the EPF amount (normally 8%). The withdrawal on retirement is also tax-free.